STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

At a session of the Public Service Commission held in the City of New York on October 16, 2025

COMMISSIONERS PRESENT:

Rory M. Christian, Chair
James S. Alesi
David J. Valesky
John B. Maggiore
Uchenna S. Bright
Denise M. Sheehan
Radina R. Valova

CASE 15-G-0185 - In the Matter of Heating Fuel Oil Supply Coordination with Interruptible Gas Service Customers: February 2015 Issues.

CASE 23-G-0225 - Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of The Brooklyn Union Gas Company d/b/a National Grid NY for Gas Service.

CASE 23-G-0226 - Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of KeySpan Gas East Corporation d/b/a National Grid for Gas Service.

ORDER ADOPTING MODIFICATIONS FOR UNANNOUNCED TESTING

(Issued and Effective October 20, 2025)

BY THE COMMISSION:

INTRODUCTION

On May 20, 2025, the City of New York (the City) filed a petition to modify interruptible customer testing requirements related to mandatory, system-wide testing of dual-fuel equipment customers, specifically, to modify those contained in the tariffs of The Brooklyn Union Gas Company d/b/a National Grid NY (KEDNY) and KeySpan Gas East Corporation d/b/a National Grid

(KEDLI) (together, National Grid).[1] The City of New York petitions the Public Service Commission (Commission) to modify the requirement, and require National Grid, to allow for a minimum of 24 hours' notice for mandatory, system-wide testing of dual-fuel equipment customers, including the January "unannounced" test. The City of New York argues that this change is necessary due to safety and operational concerns for the City. By this Order, we direct the gas Local Distribution Companies (LDCs)[2] to modify their tariffs to rename the "unannounced test" to "reliability performance test," redefining the parameters of the test to allow for up to 24 hours' notice ahead of the reliability performance test.

BACKGROUND

LDCs design their systems to ensure they can provide safe, adequate, and reliable service to their firm core customers during periods of peak demand. This is imperative because firm core customers are those that solely rely on natural gas for their heating needs and are unable to switch to an alternate fuel or cease consuming natural gas. During times without high demand from firm core customers, LDCs have additional capacity on their systems and the LDCs also provide service to customers on an interruptible basis. Such

[1] Case 15-G-0185 et al., Petition of the City of New York to Modify Interruptible Customer Testing Requirements (filed May 20, 2025) (CNY Petition).

[2] For purposes of this Order, LDCs refers to: Central Hudson Gas & Electric Corporation, Consolidated Edison Company of New York, Inc. (Con Edison), Orange and Rockland Utilities, Inc., Corning Natural Gas Corporation, Liberty Utilities (St. Lawrence Gas) Corporation, National Fuel Gas Distribution Corporation, New York State Electric & Gas Corporation (NYSEG), Rochester Gas and Electric Corporation (RG&E), Niagara Mohawk Power Corporation d/b/a National Grid, KEDNY, and KEDLI.

interruptible customers agree to cease using gas during periods of high demand to ensure the LDCs can meet the needs of their firm customers. Failure to do so during an actual interruptible event could lead to integrity issues in the system and the loss of service to firm core customers.

In response to weather-related issues impacting the availability of alternate fuel for interruptible customers in 2015, the Commission issued the Order Adopting New Communication Protocols in Case 15-G-0185.[3] The Communications Order required the LDCs to implement certain practices, including calling two test events during which interruptible customers were required to cease using natural gas and switch to their alternate fuel to ensure they could rely on interruptible customers when needed. In the Communication Order, the Commission stated that one test would be announced in advance and the other "shall be unannounced."[4] While the Communication Order did not define "unannounced," the Commission received comments from stakeholders that supported an unannounced test if there was no weather-related interruption during the months of November, December, and January. An unannounced test serves the purpose of ensuring customers are prepared to switch off of gas use when called upon by the serving gas utility. Interruptible customers play a critical role in maintaining reliable service in both unanticipated emergencies as well as cold weather events when there is not enough supply or capacity to serve them. Longer

[3] Case 15-G-0185, Order Adopting New Communication Protocols (issued December 16, 2016) (Communication Order).

[4] Communication Order, p. 11. The unannounced January test is required of KEDNY, KEDLI, and Con Edison's participating customers and is required of the remaining gas utility participating customers when a demand response/non-firm customer fails to interrupt as required by each company's tariff, as is the case for gas utilities such as NYSEG and RG&E.

time periods between notification of a performance test and the actual test provide less confidence that LDCs can rely on these customers during emergency conditions.

In the greater New York City area, interruptible natural gas service is provided primarily by Con Edison and National Grid. Under National Grid's tariff, interruptible gas service customers elect between Tier 1 and Tier 2 classifications. Tier 1 customers have systems configured for automatic switchover to an alternate fuel upon receiving notice from the utility for interruption, while Tier 2 customers perform the switchover manually. Con Edison's tariff does not contain a tier structure; however, it requires its interruptible service customers to maintain alternate fuel capability and execute fuel switching upon receipt of notice from Con Edison. This process is performed manually as required for service classification compliance and is functionally equivalent to National Grid's Tier 2 service class. Con Edison provides its participating customers approximately 24 hours' notice prior to an unannounced test, although Con Edison has significantly fewer interruptible customers. This process is performed manually as required for service classification compliance and is functionally equivalent to National Grid's Tier 2 service class.

In the Communication Order, the Commission stated that "[t]he interruption test shall be unannounced." While the Communication Order did not define "unannounced," the Commission received comments from stakeholders that supported a second unannounced test if there was no weather-related interruption during the months of November, December, and January. An unannounced test serves the purpose of ensuring customers are prepared to switch off of gas use when called upon by the serving gas utility. Failure to do so during an actual interruptible event could lead to integrity issues in the system

and the loss of service to firm core customers. Interruptible customers play a critical role in maintaining reliable service in both unanticipated emergencies as well as cold weather events when there is not enough supply or capacity to serve them. Longer time periods between notification of a performance test and the actual test provides less confidence that LDCs can rely on these customers during emergency conditions.

PETITION

The City of New York requests that the Commission revise the interruptible gas testing requirements established in the Communications Order. The Petition specifically requests the implementation of a minimum 24 hours' notice before the January unannounced test due to safety and operational concerns experienced by the City of New York. The City of New York operates approximately 230 interruptible accounts within the National Grid service territory. The City asserts that maintaining non-firm service is essential to its gas demand management, recognizing downstate supply constraints, while also recognizing the overall improved performance of its interruptible accounts.[5]

The City of New York relies on its own internal procedures to safely execute fuel switching. These procedures require coordination, safety checks, and confirmation of system readiness, which the City of New York asserts take a specific period of time to implement the protocol.[6] The City argues that the Order in Case 15-G-0185 did not account for customer-side safety risks associated with unannounced testing. The City of

[5] CNY Petition, p. 6.

[6] Id., p. 3.

New York also argues that the change in limited notice would allow for safe execution without compromising test integrity.[7]

NOTICE OF PROPOSED RULE MAKING

Pursuant to the State Administrative Procedure Act (SAPA) §202(1), a Notice of Proposed Rulemaking was published in the State Register on June 25, 2025, SAPA No. 15-G-0185SP3. The time for submission of comments pursuant to the Notice expired on August 25, 2025. Only one comment was provided by NYSEG and RG&E, which is addressed below.

LEGAL AUTHORITY

Pursuant to Public Service Law (PSL) §§65 and 66, the Commission has authority to ensure that the LDCs provide safe and adequate service and clearly define the terms of service in their tariffs.

DISCUSSION AND CONCLUSION

The City of New York states, " ... the unannounced January test requirement has created troublesome safety concerns for the City, as it needs a certain amount of time to follow specific protocols to switch its system from gas over to an alternative fuel source." While the City of New York describes potential safety concerns, it has historically demonstrated adequate compliance with directives to interrupt its use of natural gas with only two-hours' notice.

The fundamental purpose of an interruptible service tariff is to support system reliability for firm core customers by requiring interruptible customers to interrupt their gas consumption when directed, thereby reducing peak demand on the

[7] Id., pp. 11-12.

gas distribution system. This framework also limits the amount of infrastructure investment that would otherwise be necessary to provide firm service to those customers, producing cost savings for all customers by avoiding unnecessary increases in gas system infrastructure. It further reduces the environmental impacts associated with expansion of the natural gas system while providing an important demand response function during periods of system stress, as demonstrated during Winter Storm Elliot.[8]

As required by interruptible service class tariffs, those participating in the service class must stand ready to stop using natural gas when their LDC calls upon them to do so. It would not be appropriate for interruptible customers to pay the otherwise applicable firm service rate as they do not receive the same level of service as firm customers. Additionally, interruptible customers generally incur costs to undertake additional actions to prepare to stop their gas usage, such as maintaining a supply of alternate fuel.

In their comment, NYSEG and RG&E state that they "are generally not opposed to [the City's] request in its Petition," however, they emphasized that "the Commission should not modify its prior decision that allows upstate LDCs to implement an unannounced January test if an Interruptible Customer fails to interrupt as required by the LDCs tariffs." NYSEG and RG&E further stress that "it is critical that the Commission retain the flexibility for the upstate LDCs to implement unannounced tests for specific Interruptible Customers where the Interruptible Customer has failed to interrupt during a real-

[8] See Federal Energy Regulatory Commission, Winter Storm Elliott Report (November 7, 2023), https://www.ferc.gov/news-events/news/ferc-nerc-release-final-report-lessons-winter-storm-elliott (accessed September 30, 2025).

time event." The Companies also express concern "to the extent that this 24 hours' notice could be applied to real-time interruption events," noting that their tariffs currently allow interruption "on not less than two hours' notice if there is a real need for interruption." Accordingly, the Companies "do not support changing the notification requirements from not less than two hours' notice if there is a real need for interruption," and they "respectfully request the Commission affirm that the Petition would not affect the upstate LDCs current ability to implement unannounced tests ... [and] should also not modify the notification requirements for real-time needs."[9]

We agree, and this Order does not modify any requirements as applied to gas LDCs who will retain the flexibility to implement the unannounced test for specific interruptible customers where the interruptible customer has failed to interrupt during a real-time event.

While NYSEG and RG&E do not oppose the City's Petition, customers enrolled in interruptible service are obligated to interrupt when required and receive discounted rates in exchange for that obligation. Non-compliance undermines the integrity of the classification and diminishes its value to system operations. The City indicates that since 2016 it has experienced only two instances where any of its facilities have failed to timely switch to an alternative fuel source. These events occurred in 2019 and 2023. As discussed above, the City has adequately complied with switching requirements. A significant number of incidents that suggest a

[9] Case 15-G-0185, Comments of New York State Electric & Gas Corporation and Rochester Gas and Electric Corporation on New York City's Petition to Modify Interruptible Testing Requirements (filed August 25, 2025).

failure to comply generally does not exist, therefore, the incidents or the likelihood of future incidents are not sufficient to require a change in the requirements for all gas LDCs.

Similarly, the City asserts that its Petition is limited to modifying the testing procedures, redefining "unannounced" to include a fixed notice period, and that its Petition is not a proposal to modify requirements associated with emergency interruptions. However, the City's proposed modifications alter the ability of the test to replicate emergency conditions. Since the core purpose of a test is to ensure customer readiness for real-time interruption, any modification to test protocols must be assessed in light of this obligation. The City argues that in most instances, based on predicated weather patterns, the LDC provides 24 hours' notice or more when calling an interruption.[10] Yet, the insistence that most interruptible events provide at least 24 hours' notice does not obviate with the need to test whether interruptible customers can switch to alternative fuel sources in the most severe or time-sensitive emergencies.

While we agree that in most cases LDCs call interruption events with at least 24 hours' notice, this does not preclude the possibility that in the most severe emergencies, the LDCs may need to require customers to interrupt with less notice. The unannounced test has served to assess customer's readiness to switch in those events. Yet, we also recognize there is ambiguity in the definition of an unannounced test and recognize that LDCs have implemented the test while providing varying amounts of notice. Accordingly, we direct all gas LDCs, not only National Grid as proposed in the City's

[10] CNY Petition, pp. 11-13.

Petition, to modify their tariffs so that the "unannounced test" is renamed to the "Reliability Performance Test" and defined in the tariff as follows:

> "Reliability Performance Test" shall mean a test, conducted in the month of January, of an interruptible customer's ability to switch from gas to alternate fuel or cease using gas within 24 hours of receiving notice from the gas utility."

This modification eliminates ambiguity, standardizes expectations across LDCs, and preserves the reliability objectives of the interruptible service class. This modification provides the necessary flexibility for LDCs to determine with its interruptible customers what is a reasonable notice period for these tests to reach an appropriate balance.

To ensure consistent implementation, the LDCs are required to file tariff amendments on not less than five days' notice and to be effective December 1, 2025. As the amendments affect a small subset of customers, the Commission waives the newspaper publication requirements of PSL §66(12)(b) and 16 NYCRR §720-8.1. Further we require the LDCs to provide their interruptible customers with direct notification of the tariff amendments.

The Commission orders:

1. Central Hudson Gas & Electric Corporation, Consolidated Edison Company of New York, Inc., Corning Natural Gas Corporation, KeySpan Gas East Corporation d/b/a National Grid, Liberty Utilities (St. Lawrence Gas) Corporation, National Fuel Gas Distribution Corporation, New York State Electric & Gas Corporation, Niagara Mohawk Power Corporation d/b/a National Grid, Orange and Rockland Utilities, Inc., Rochester Gas and Electric Corporation, and The Brooklyn Union Gas Company d/b/a National Grid NY shall file tariff amendments in Case 15-G-0185

on not less than five days' notice and to be effective December 1, 2025, to rename the "unannounced test" as the "Reliability Performance Test" and add the following definition: ""Reliability Performance Test" shall mean a test, conducted in the month of January, of an interruptible customer's ability to switch from gas to alternate fuel or cease using gas within 24 hours of receiving notice from the gas utility."

2. The requirements of Public Service Law §66(12)(b) and NYCRR §720-8.1 requiring newspaper publication of the tariff amendments authorized in Ordering Clause No. 1 are waived.

3. Central Hudson Gas & Electric Corporation, Consolidated Edison Company of New York, Inc., Corning Natural Gas Corporation, KeySpan Gas East Corporation d/b/a National Grid, Liberty Utilities (St. Lawrence Gas) Corporation, National Fuel Gas Distribution Corporation, New York State Electric & Gas Corporation, Niagara Mohawk Power Corporation d/b/a National Grid, Orange and Rockland Utilities, Inc., Rochester Gas and Electric Corporation, and The Brooklyn Union Gas Company d/b/a National Grid NY shall provide notice within 30 days of the issuance of this Order to their customers taking interruptible service of the tariff amendments authorized in Ordering Clause No. 1.

4. Central Hudson Gas & Electric Corporation, Consolidated Edison Company of New York, Inc., Corning Natural Gas Corporation, KeySpan Gas East Corporation d/b/a National Grid, Liberty Utilities (St. Lawrence Gas) Corporation, National Fuel Gas Distribution Corporation, New York State Electric & Gas Corporation, Niagara Mohawk Power Corporation d/b/a National Grid, Orange and Rockland Utilities, Inc., Rochester Gas and Electric Corporation, and The Brooklyn Union Gas Company d/b/a National Grid NY shall file with the Secretary to the Commission, no later 60 days from the issuance of this Order, a

copy of the customer notification identified in Ordering Clause No. 3.

5. In the Secretary's sole discretion, the deadlines set forth in this Order may be extended. Any request for an extension must be in writing, must include a justification for the extension, and must be filed at least three days prior to the affected deadline.

6. These proceedings are continued.

By the Commission,

(SIGNED) MICHELLE L. PHILLIPS
Secretary